MYDA Advantage, LP (“MYDA” or the “Fund”) returned +7.21% in Q3 of 2024, compared to +5.53% for the S&P 500. U.S. Equity markets performed well during the third quarter and returns were broad based and not concentrated in mega-cap technology stocks, as they have been for several quarters. There were periods of serious volatility in Q3, especially in early August when a soft jobs number triggered a key recession indicator and markets retraced by 8.5%. The Fund took advantage of this selloff by covering many of its short positions, allowing our short book to realize almost 1/3 of the Fund’s gains for August. By the end of the month, the S&P 500 had just about fully recovered. Markets continued to be strong until the end of the Q3 on the heels of September’s large 50bps interest rate cut by the Federal Reserve (the first easing in monetary policy in 4 years). We were pleased with our performance as both our long and short books were additive for the quarter.

Our top winners for Q3 were primarily AI/Data-center infrastructure related names. These have been successful thematic positions for the Fund throughout 2024 and companies such as Core Scientific, Inc. (CORZ), NVIDIA Corporation (NVDA), and Vertiv Holdings Co (VRT) have persisted on our 2024 top 5 winners list. While CORZ and NVDA remain outsized long positions, we reduced VRT into the Q3 strength and would look to increase our exposure at lower prices. Cogent Communications Holdings, Inc. (CCOI) and Serve Robotics Inc. (SERV) are new to the winners list and worth further discussion as the Fund remains long both positions.

CCOI is a telecom provider with a worldwide fiber network, a high dividend yield and generally consistent growth. In May 2023, CCOI purchased the Sprint long distance network from T-Mobile US, Inc. (TMUS), in a complex transaction which we believed was misunderstood by the street, causing the stock price to fall. Compounding the problem were margin calls the CEO received against pledged shares he used as collateral for his personal commercial real estate portfolio. The underperformance of these holdings, coupled with the price drop in CCOI stock, resulted in the CEO’s forced selling of shares. This sell-off provided an excellent entry point. In addition to the core business being attractively valued, CCOI received non-cash generating assets in their TMUS acquisition, including data centers with dedicated power which could be modified to be used for AI. We believe that these non-core assets could be valued at more than CCOI’s current market cap. As the company started to monetize these assets in Q3, the stock price increased.

SERV designs, develops, and operates low-emission robots that serve people in public spaces with food delivery in the United States. Previously, SERV was a division of Postmates which was acquired by Uber Technologies, Inc. (UBER) in late 2020. SERV has a deal with Uber Eats to deploy up to 2,000 robots in multiple U.S. markets and UBER is SERV’s largest shareholder. UBER spun off SERV in 2021 so that it could diversify its client base and service other large food delivery companies such as DoorDash, Inc. (DASH) and Maplebear (Instacart) Inc. (CART). We were introduced to SERV this past April as part of its stock offering and uplisting to the Nasdaq Capital Market from the OTC. We believe SERV is in a strong position to exploit the expansion of automation through robotic services (inside and outside of food services and delivery), that are cheaper and more reliable than their human counterparts. We were excited to learn that UBER was going to participate in the offering, and that NVDA has been a stakeholder in SERV since late 2023 when SERV first got spun-off and went public through a reverse merger. We participated in the offering which was priced at $4. The stock languished for most of Q2, but in July NVDA filed a form 13G showing its then current 10%

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ownership stake. As we anticipated, this acted as a catalyst for the shares and the stock price went parabolic reaching an intraday high of $30. The price has since settled down and management wisely used the exuberance to raise more capital.

The largest detractor for the quarter was our long position in HubSpot, Inc. (HUBS). HUBS is a CRM for small to mid-sized businesses with integration tools for sales, customer service and operations. We viewed HUBS as a highly defensible software company despite its high valuation. HUBS recently amended its pricing model and added no-cost AI features in an effort to win more customers before encouraging up-sells and cross-sells. While these tactics would depress near term growth, the medium-term outlook for the company would benefit. Concurrently, there were reports that Alphabet Inc. (GOOGL) was considering making a bid to purchase HUBS. We felt comfortable initiating a small position in HUBS as we believed GOOGL's perceived interest would provide support to HUBS' share price in the short term, allowing them to execute their pricing plan without any meaningful stock price depreciation. Unfortunately, in early July, it was reported that GOOGL was not interested in purchasing HUBS and the stock price fell. We traded the shares throughout the quarter; but ultimately took the loss as the position size was relatively small and did not warrant any more scale given the lack of near-term visibility in their sales cycle.

MGM Resorts International (MGM) was also a top detractor for the quarter. During their Q2 earnings call, MGM highlighted some weakness in Q4 bookings in Las Vegas, which led to a decline in its stock price. MGM attributed the softness to challenging year-over-year comparisons rather than any fundamental weakness in the broader Las Vegas market. This was primarily due to the impact of the Formula 1 race in 2023. MGM's compelling valuation, diversified portfolio, strong balance sheet, and significant growth opportunities over the next five years, including online gaming and new casino developments in New York City, Japan and possibly the UAE, are not yet reflected in its stock price. Despite what we view as a short-term setback, MGM remains a core holding and we believe it will outperform as it executes on its growth plans.

Q4 is generally the strongest quarter of the year for equity markets. Since 1980, the S&P 500 has increased by an average of 4.8% in Q4, which is 1.9 percentage points higher than the next closest quarter. Recently, we have gotten through the presidential election, the Fed has cut interest rates by another 25bps, inflation remains contained, unemployment is historically low and the US economy remains strong. However, we are concerned by current high valuations accompanied by higher Treasury yields. If current inflation rates remain sticky or rise, we see the potential for risk to equity prices ahead. There has also been a large uptick in speculative activity in areas including crypto, nuclear reactors, quantum computing and low-quality lending. This type of speculation can occur towards the end of a bull market cycle. We are not negative on markets, but considering this potential risk we are positioned accordingly. We hope everyone enjoys the upcoming holiday season and we look forward to a strong finish to 2024!

- MYDA ADVISORS

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